

Nepal Doorsanchar Company Limited (Nepal Telecom)

Annual Report — Fiscal Year 2022/23 (FY2023)

Registered Office: Bhadrakali Plaza, Kathmandu, Nepal | Listed on: Nepal Stock Exchange (NEPSE) — Symbol: NTC | Government Stake: 91.49 percent

Synthetic document for the ICAN GenAI workshop. Figures are fictional and used solely for educational demonstration.

Managing Director's Statement

Fiscal year 2022/23 was a transformational year for Nepal Telecom. We successfully launched commercial 5G services in select urban areas, expanded our 4G coverage to 78 percent of the population, and crossed 18 million active mobile subscribers. Despite intense competitive pressure on voice and data tariffs, the Company achieved revenue growth of 4.1 percent and a net profit of NPR 9.86 billion.

— Sangita Pandey, Managing Director

Board of Directors (As at Ashadh 31, 2080 / 15 July 2023)

Name	Designation	Appointed
Dilli Adhikari	Chairperson	2021
Sangita Pandey	Managing Director	2022
Bhojraj Ghimire	Director (Government Nominee)	2020
Renu Karki	Director (Independent)	2021
Hari Prasad Neupane	Director (Government Nominee)	2019
Bikash Shrestha	Chief Financial Officer	2020

Financial Highlights — FY2023 (NPR in Millions)

Metric	FY2023	FY2022	Change %
Total Assets	152,840	146,920	+4.03%
Total Revenue	47,180	45,320	+4.10%
Operating Profit	13,420	13,180	+1.82%
Net Profit	9,860	9,640	+2.28%
Total Equity	98,140	92,460	+6.14%
Cash and Bank Balance	34,820	32,180	+8.20%
Earnings Per Share (NPR)	65.73	64.27	+2.27%
Return on Equity (ROE)	10.05%	10.43%	-38 bps

Net Profit Margin	20.90%	21.27%	-37 bps
Active Mobile Subscribers (millions)	18.24	17.61	+3.58%

Management Discussion and Analysis (MD&A;)

Industry Environment

Nepal's telecommunications sector witnessed continued data tariff compression, with average revenue per user (ARPU) for mobile data declining by 6 percent year-on-year. The Nepal Telecommunications Authority (NTA) approved spectrum reallocation in the 700 MHz band during the year, paving the way for 5G deployment. Competition from Ncell remained intense.

5G and Network Expansion

Nepal Telecom invested NPR 8.4 billion in capital expenditure during the year, of which NPR 3.2 billion was directed to 5G infrastructure in Kathmandu, Pokhara and Biratnagar. A further NPR 2.1 billion was spent on rural 4G coverage expansion, bringing 4G availability to 78 percent of the population (FY2022: 71 percent).

Subscriber Base and ARPU

Active mobile subscribers grew to 18.24 million (FY2022: 17.61 million). Postpaid subscribers grew faster at 9.2 percent compared to 3.5 percent growth in prepaid. Blended mobile ARPU stood at NPR 198 per month (FY2022: NPR 207).

Subsidiaries and Associates

Subsidiary / Associate	Ownership %	Principal Activity
NT Digital Services Pvt. Ltd.	100.0%	Digital payments, cloud services
Nepal Satellite Telecom Pvt. Ltd.	60.0%	Satellite communications

Risk Management — Key Risk Factors

1. **Tariff and Competitive Risk:** Continued price competition from Ncell and emerging OTT services threatens voice and SMS revenues. Voice revenues declined by 11 percent year-on-year.
2. **Technology Risk:** The 5G rollout requires significant capital investment ahead of revenue realisation. Payback periods for 5G are estimated at 5-7 years.
3. **Regulatory Risk:** The Telecommunications Service Royalty rate of 4 percent of gross revenue, plus rural telecommunications development fee of 2 percent, materially affect operating margins. Any further increase would compress profitability.
4. **Cybersecurity Risk:** As Nepal's largest telecommunications operator, the Company is a high-value target for cyber-attacks. Investment in security operations centre (SOC) capabilities was increased to NPR 240 million during the year.

Independent Auditor's Report

To the Shareholders of Nepal Doorsanchar Company Limited:

We have audited the financial statements of Nepal Doorsanchar Company Limited for the year ended Ashadh 31, 2080. In our opinion the financial statements present fairly, in all material respects, the financial position and performance of the Company in accordance with NFRS.

Key Audit Matters

(a) Revenue Recognition: Telecommunications revenue comprises multiple performance obligations (voice, data, interconnect, equipment). The complexity of bundled offerings requires significant judgement in identifying performance obligations and allocating transaction prices.

(b) Network Asset Impairment: 3G network assets totaling NPR 6.4 billion are at risk of accelerated obsolescence given the 5G rollout. Management performed impairment testing using discounted cash flow models with a discount rate of 12.5 percent.

Audited by: **BDO Nepal**, Chartered Accountants. Audit partner: CA Pradeep Sharma, ICAN Membership No. 3892.
Audit report dated: Mangsir 6, 2080.

Dividend and Capital Distribution

The Board has recommended a cash dividend of 30.0 percent on paid-up capital for FY2023, in line with the Government's expectation as the majority shareholder. Total dividend distribution amounts to NPR 4.50 billion, representing 45.6 percent of net profit.